# Distributor Agreement

Ashland Climate and Hartwell Supply Co., dated December 9, 2024

### 1. Appointment

Ashland Climate (the Supplier) appoints Hartwell Supply Co. (the Distributor) as a non-exclusive authorized distributor of the Products in Ohio, Indiana, Kentucky, Michigan and western Pennsylvania.

### 2. Term

This Agreement runs from January 1, 2025 to December 31, 2025 and renews for successive one-year terms unless either party gives ninety (90) days' written notice.

### 3. Warranty

Products are warranted against defects in materials and workmanship for the periods stated in the Supplier's published limited warranty. Distributor shall not extend any warranty on the Supplier's behalf.

### 4. Insurance

Each party shall maintain commercial general liability insurance of not less than $2,000,000 per occurrence and shall provide certificates on request.

### 5. Confidentiality

The terms of this Agreement, including all pricing and program terms, are confidential and shall not be disclosed except to a party's professional advisers.

### 6. Governing law

This Agreement is governed by the laws of the State of Ohio, without regard to its conflict-of-laws rules.

### Exhibit B: Distributor Incentive Program, 2025

**1. Eligible Purchases** means net invoiced purchases of Equipment (condensers, furnaces, air handlers, heat pumps and packaged units), less returns and credits, excluding freight, taxes and parts.

**2. Volume rebate.** The rebate rate for the highest tier achieved shall apply to all Eligible Purchases in the Program Year, from the first dollar.

| Annual eligible purchases | Rebate |
|---|---|
| $24,000,000 or more | 1.00% |
| $35,000,000 or more | 1.75% |

| | |
|---|---|
| $50,000,000 or more | 2.25% |

**3. Payment.** Rebates are paid by credit memo within seventy-five (75) days after the end of the Program Year.

**4. Cooperative advertising.** The Distributor accrues co-op funds at 1.0% of Eligible Purchases. The Supplier reimburses fifty percent (50%) of the cost of approved activities (dealer training, trade shows, co-branded advertising, displays). Claims must be submitted with proof of performance by April 30 following the Program Year; unclaimed funds expire.

**5. Freight.** Orders of $5,000 or more ship freight prepaid to any Distributor location. Smaller orders ship freight collect.

**6. Prior programs.** The 2023 Heat Pump Accelerator (Exhibit C to the 2023 agreement) expired on December 31, 2023 and does not apply.